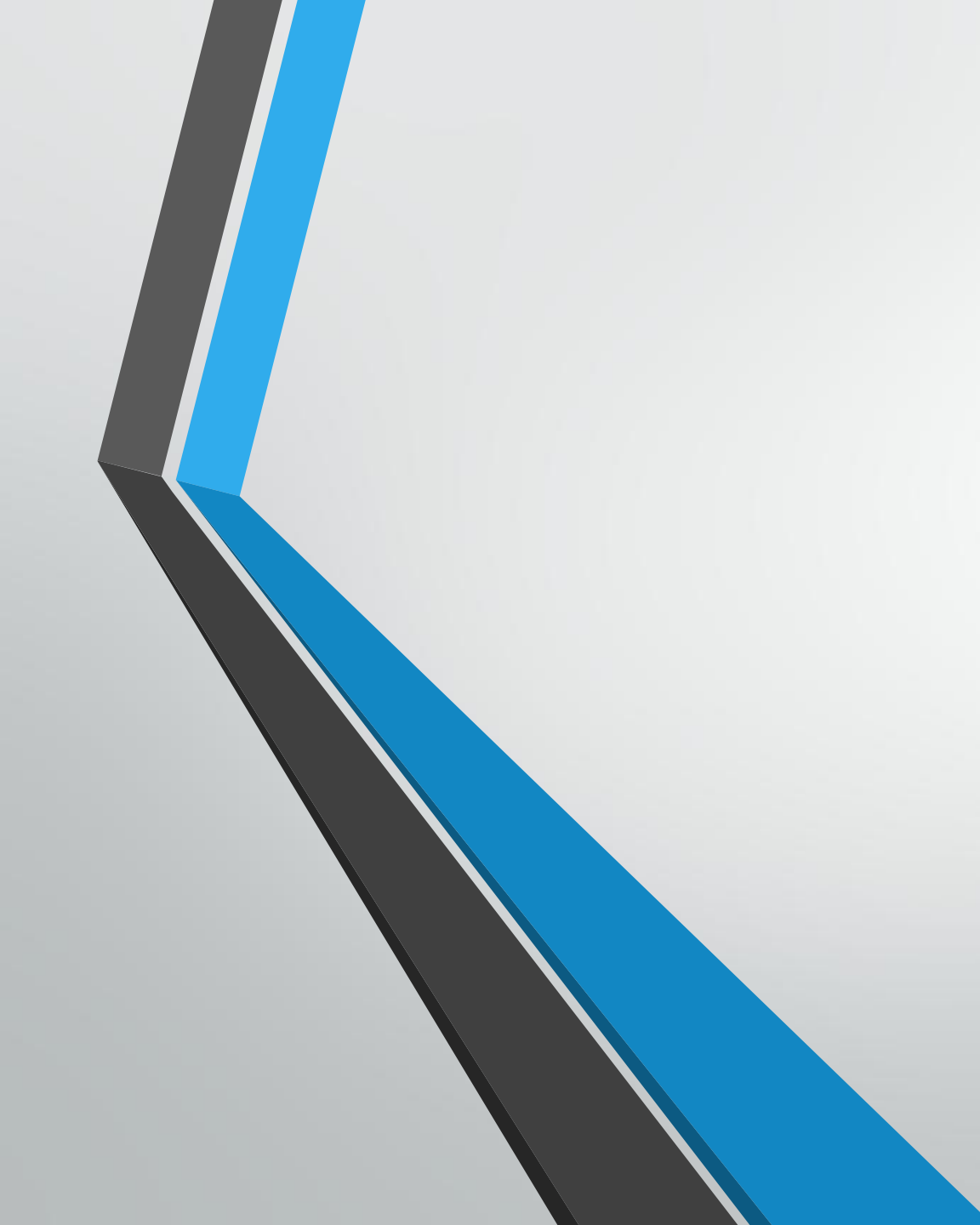




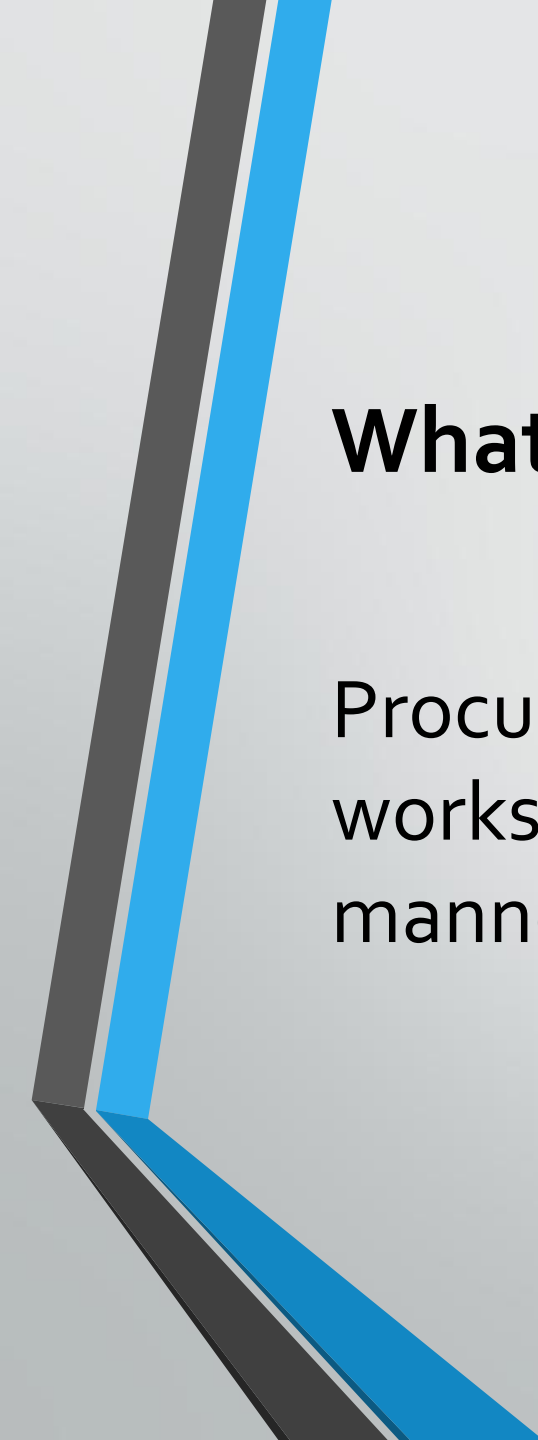
IT Procurement Management

IS4105- Lecture 02

Presenter- PKDK Kaushalya

Procurement Process





What is meant by Procurement?

Procurement is the process of acquiring goods, services, or works from external sources in a structured and strategic manner.

Procurement ~~≠~~ Purchase

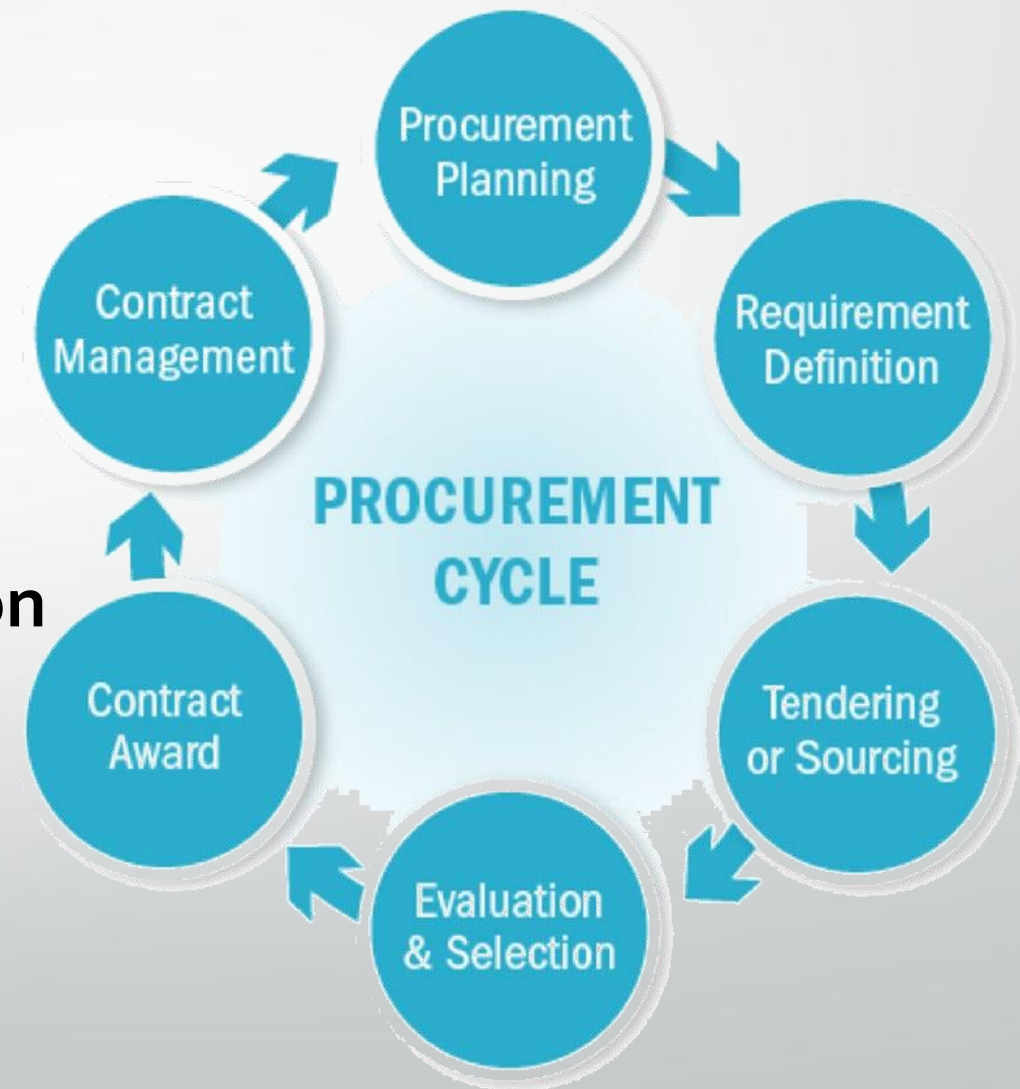
Procurement	Purchasing
Strategic	Transactional
Long-term focus	Short-term focus
Includes planning & contract management	Focus on order & payment

Procurement Process (Standard Lifecycle)

- Procurement is a **systematic lifecycle** that ensures organizations acquire goods and services in a structured, transparent, and value-driven manner.
- It is not a one-time buying action, it is a **controlled managerial process**.

Main Steps

1. Procurement Planning
2. Requirement Definition
3. Tendering & Sourcing
4. Vendor Evaluation and Selection
5. Contract Award
6. Contract Management



Procurement Planning

Planning is the strategic stage where the organization identifies the need for procurement and prepares the overall approach.

It answers;

- Why do we need this?
- What problem are we solving?
- Is this aligned with business strategy?
- What is the budget?
- What are the risks?

Key Activities

- Need identification
- Budget approval
- Stakeholder identification
- Make-or-buy analysis
- Risk assessment
- Timeline planning
- Procurement strategy selection



Poor planning leads to;

- Emergency purchasing
- Budget overruns
- Wrong supplier selection
- Project delays
- Incompatible systems
- Security risks
- Technical debt



**POOR PLANNING = HIGHER COSTS +
SUPPLIER FRUSTRATION QUALITY
 COMPROMISE**

**PLAN EARLY,
SAVE COST AND STRESS**

Requirements Definition

- Requirement definition is the process of clearly specifying what the organization needs to purchase.
- This stage converts a business need into measurable and comparable specifications.

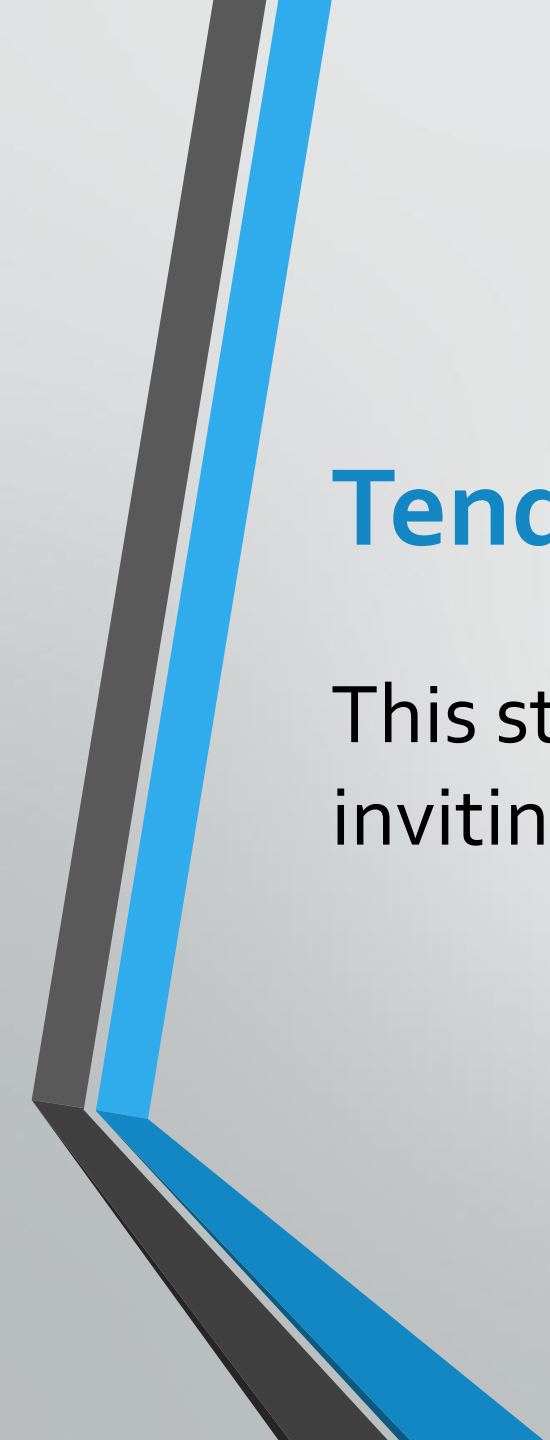
Types of Requirements

- Functional requirements
(What the product/service should do)
- Technical requirements
(Specifications such as RAM, CPU, performance standards)
- Service requirements
(Warranty, maintenance, support)
- Compliance requirements
(Legal, regulatory, organizational standards)

Clear requirements ensure;

- Fair competition
- Accurate vendor comparison
- Reduced ambiguity
- Reduced disputes
- No hidden costs
- Better performance eventually





Tendering or Sourcing

This stage involves identifying potential suppliers and inviting them to submit proposals.

Tendering involves;

- Market research
- Identifying qualified vendors
- Supplier prequalification
- Shortlisting vendors



Tendering Methods

- Open Tender (public invitation)
- Limited Tender (selected vendors)
- Direct Procurement (single source)
- Request for Proposal (RFP)
- Request for Quotation (RFQ)
- Request for Information (RFI)

Vendor Evaluation

- Vendor evaluation is the systematic assessment of proposals received from suppliers.
- It ensures the selected vendor offers the best value, not just the lowest price.

General Criteria of Evaluation

- Price
- Technical compliance
- Quality standards
- Warranty and after-sales support
- Delivery capability
- Vendor reputation
- Financial stability
- Risk level
- Legal Compliance

